SkyCity (SKC): model audit and deep dive

Review of SkyCity_Valuation_Model_Deep_Review_28Oct2026_v2.xlsx, with a corrected v4. Second issue, 10 November 2026, reissued after the red-team review. NZ dollars unless marked A$. Numbers in square brackets refer to the source list at the end.

Before anything else

- **Could I open the workbook?** Yes, all 15 tabs.
- **Formulas or stored values?** Both. I can read the 1,869 formulas and the values stored with them.
- **Did I recalculate it?** Yes, in LibreOffice: no errors, and every one of the 2,540 stored numbers came back unchanged. I also rebuilt the headline from the typed inputs in a separate Python model.
- **The v4 workbook.** Sixteen tabs (one new, Outcomes), 2,323 formulas, recalculated with no errors; the live checks read ALL OK. Inputs changed only on the Assumptions tab and no input is typed inside a formula (only unit constants such as 12 months and 365 days).
- **Blanks in the brief.** The date, the size of your holding and your cost were left as placeholders. I have used today, 10 November 2026, and the NZX close of 9 November, $0.70 [17, 23]. The $0.69 in your draft was the 6 November close. Because the holding figures are blank, nothing here is sized to your position.

What changed in this issue

- **Headline $0.748, not $0.768.** The online market is now Evergreen’s own estimate of licensed revenue, at your direction, in place of a path built on a figure that measures card deposits. That takes 2.1 cents off.
- **One outcome table, and a different reading from it.** The red team was right that the workbook and my report held two takeover models that disagreed. They are now one, on a new Outcomes tab, linked to the model’s three cases. Doing that properly changed my answer. The first issue said the shares were priced for 9% to 10% a year, under the required return. That table had left almost no room for the bull case, a judgement I had not declared. On the model’s own weights the value today is about $0.76 ($0.756 to $0.776), which is 8% to 11% above the price. With every cautious view applied it is $0.64.
- **Price levels now come from that table:** add below about $0.64, trim above about $0.76 without a firm bid, and a cash bid of about $0.86 or more beats holding on if trading is on the base path.
- **Slips fixed.** The $0.86 is net tangible assets, not book value. The switch figure is $0.755, not "about $0.754". The beta test is on the levered beta. Earlier-version labels in the workbook are frozen or made live. The blocking vote is conditional on turnout. My flag about paying online licence fees again at renewal is withdrawn. The real-terms pokie figures are added in 3A.
- **Not changed.** Savings, the run-rate, terminal capex and the discount rate. The red team is right that these are assumptions and that they move value by more than any correction here. I have no new evidence on them, so the inputs stand and the sensitivities are shown.

1. The view

Hold. Do not add at this price. The corrected standalone value of $0.748 is about 7% above the $0.70 price, and the $0.76 I get once a takeover, an Adelaide sale and a forced raise are laid over the model’s three cases (section 5) is about 8% above it. That gap is real but thin. It closes completely if FY28 savings land $10m short in every case. It becomes an 8% shortfall ($0.64) if the bull case gets less weight, the bear case is priced at its model value, takeover chances are halved and the market keeps paying a tenth under model value. A sale process is still open and the balance sheet is about to be repaired, which is the reason to stay. The value still rests on FY28 savings that cannot be checked from outside, which is the reason not to buy more. This is analysis, not financial advice; the decision and its sizing are yours.

The model’s $0.700 is too low by about 5 cents (7%). Corrected headline $0.748: bear $0.24, base $0.78, bull $1.30, weights 25/55/20 unchanged. The first issue said $0.768; the difference is the online market size.

2. Job 1: audit and corrections

2.1 Rebuilding the headline

From the typed inputs alone my replica gives bear $0.1558, base $0.7447, bull $1.2591 and a weighted $0.700339. The workbook shows $0.700339. There is no difference to explain. The mechanics are sound: earnings before interest and tax sit below EBITDA in every year, the probabilities add to one and flow to the answer, and the bear can lose.

2.2 Typed inputs against primary sources

I checked each blue input on the Assumptions tab, including the deep review block. Two were wrong, four needed refreshing, one rested on a source that does not measure what it was used for, and the rest were confirmed or are judgements that no filing can settle.

Input (cell)	Model	Verdict	Source
Share price (C7)	$0.68	REFRESH: $0.70, close 9 Nov	[17, 23]
Shares on issue (C8)	1,103,055,047	Confirmed	[17, 3]
Revenue, EBITDA, D&A, interest, tax FY25 and FY26 (rows 17 to 30)	822.7 / 181.6 / 105.1 / 26.6 / 11.9	Confirmed	[2] p 13, p 26
Capex FY26 (row 34 to 36)	95.4 (62.5 + 32.9)	Confirmed	[1, 2]
Total assets, equity (C41, C42)	2,605 / 1,545	Confirmed	[3] five-year summary
USPP, bond, cash (C44 to C46)	375.9 / 175.0 / 114.4	Confirmed	[2] p 16, p 28; [3] note 25
Net debt incl. leases (C49)	590.7	Confirmed	[1, 2]
Lease liabilities (C48, "derived")	154.2	Confirmed: $154.228m	[3] note 22
Covenant EBITDA; borrowing cost	189.1; 5.32%	Confirmed	[2] p 15, p 29
Asset sales (C97, C98) and dates	74.5; 221.0; 1 Sep; mid-Dec	Confirmed	[5, 8]
EBITDA of assets sold (C186, C187)	8.5 and 1.5	Not verifiable here (call transcript); plausible	CFO remarks quoted in the model
Online licences (C152) and timetable	2 at $15m ex GST	Confirmed	[7, 2]
Online market size (H75:K75)	$1,100m in FY28, rising 5% a year	UNEVIDENCED: the $1.36bn behind it counts card deposits, not casino revenue. Now Evergreen's own estimate: $760m to $1,040m	[56, 57]
Online duty 16%, levy 3.5%, problem gambling levy 1.24%	33.8% of player spend with GST	Not checked against the Act; press reports of the bill agree on the 1.24% levy	[55]
B3 FY26; CBS provision (C149)	23.5; 23.9	Confirmed	[2] p 14
Change costs (C171)	19.5 (17 to 22)	Confirmed	[4]
Run-rate inputs (2H26, Q4 v Q3)	96.1; -20	Confirmed	[1]
Tax losses (notes, Review Summary)	"about $180m", not valued	WRONG: NZ losses $83.6m (tax value $23.4m); Australian A$165.7m unrecognised	[3] note 10
99 Albert leaseback (C196, C197)	"none disclosed"; 50%	WRONG: a short-term lease is disclosed	[2] p 30 note 5
Non-deductible building depreciation (row 25)	$20m, unsourced	Not disclosed; evidence supports $15m to $22m	[3] note 19; [13]
Class action (C190 to C193)	$125m, 25%, 60%	Losses now evidenced at $120m to $150m; odds are judgement	[12, 3, 41]
Grand tax on sale (C174)	$15m	Not verifiable	none found
Risk-free rate (DCF C4)	5.00%	REFRESH: 4.70%	[18, 30]

Input (cell)	Model	Verdict	Source
Risk premium, beta, size premium, cost of debt	6.5%, 0.61, 1.5%, 6.0%	Judgement; beta has no fresh evidence behind it	model
Broker targets (C11)	Jarden $0.80	REFRESH: Jarden $1.15; Craigs $0.84 added	[28]
Share rights (C162)	6.80m	Not re-verified (NZX notice 28 Sep exists)	NZX 480714
Hamilton licence	Sep 2027	Confirmed: expires 18 Sep 2027	[21]
Allan Gray (M&A C332)	12.55%	REFRESH: 11.463%	[10]
Macquarie forecasts	200.2 / 220.0	Not verifiable (paywalled)	none

2.3 What has changed since 28 October

- **Price.** $0.70 on 9 November. Since the bids were disclosed on 25 August, 73 million shares (6.6% of the company) have traded at a volume-weighted average close of $0.673 [23].
- **Rates.** The Reserve Bank held the OCR at 2.75% on 28 October in a 4 to 3 vote when a rise was fully priced [29]. The 10-year yield has fallen from 5.0% to about 4.70%: the Government's 15 April 2037 bond sold at 4.7249% on 5 November [18]. Next decision 9 December.
- **Election.** On the preliminary count National, ACT and NZ First hold 67 of 131 seats, with about 14% of votes still to count and the official result due 27 November [22, 31]. A new party, Opportunity, may hold the balance [32]. If the coalition holds, gambling law stays as it is: these are the parties that passed the Online Casino Gambling Act. Labour and Te Pāti Māori voted against that bill at its first reading and the Greens want online gambling advertising banned [50, 55]. A change of government would not undo licences already auctioned, but it would raise the odds of tighter advertising rules. I found no party proposing a change to casino duty. The practical effect today is a three-week wait that gives bidders a reason to sit still.
- **SkyCity announcements.** Two only: Allan Gray cut its holding to 11.46% (notice 30 October) [10], and Lauren Quaintance is to join the board subject to regulators (5 November) [9]. Nothing on the sale process, Adelaide, the Grand Hotel consent or the licences.
- **Brokers.** Jarden moved to Buy with a target of $1.15, from $0.80, citing a mid-cycle EBITDA of $233m without the Grand and Adelaide [28]. The median of five targets is now $0.92.
- **Peers at one date (6 November).** The all-peer median is 8.7 times EBITDA, unchanged; the land-based median moved from 7.1 to 7.5 times. Prices only: I did not refresh the peers' debt or earnings.

2.4 Challenging the method

A bear of $0.16 at a 25% weight. The bear is not one scenario. It stacks weak trading, a lost class action, a higher discount rate and lower growth. The class action part is an inconsistency: the claim has its own 25% chance and has nothing to do with trading, so assuming it is lost inside a 25% case makes the headline carry $35.8m of expected cost against the model's own $21.75m. I have corrected that (+1.4 cents, of which 0.1 cent is the same change applied to the 99 Albert lease; the bear was $0.25 in v3 and is $0.24 now). The legal risk has not fallen. A loss in full would take 5.3 cents off every case, and section 5 shows it as its own line. The discount-rate and growth shifts also count risk twice, but they nearly cancel between bear and bull (0.1 cent), so I have left them. One caution on reading the bear: it is far below the $0.465 at which the shares actually bottomed in June, because the model keeps spending $80m to $100m a year on capex whatever happens to earnings. It is a value under continued heavy investment, not a price forecast.

A bull that supplies 36% of the headline (35% after corrections). It needs the full $70m of savings, 3% growth and one and a half times the online share. That is the board's plan, not evidence. But it is not outside what the directors and their auditor have signed: the FY26 impairment test values Auckland alone at $1,598m to $1,856m at a 9.2% rate, more than the model's $1,302m for the whole land-based business including Adelaide [3, note 20]. A 20% weight is defensible, so I have kept it. My own read is nearer 15%, with the bear at 30%. I should have said so in the first issue, because my outcome table quietly used something like it. At 30/55/15 the headline is $0.694.

Terminal value at 74% of enterprise value. Normal for a five-year forecast. Terminal capex of $100m against depreciation of $106m looks reasonable, but it is not proof that $100m a year supports 2.5% growth for ever, and the model does not add the cost of renewing leases as they run out. I have no evidence that moves either number. Another $10m of final-year capex in every case takes about 10 cents off the headline. The gap is a risk the model does not carry at all: fifteen licensed online casinos advertising from mid-2027 may take play from the casino floors. Each 1% of New Zealand gaming revenue lost is worth about 2.5 cents.

The 9.31% discount rate (9.12% after the refresh). The build is orthodox. The weak point is the beta (0.61 unlevered, 0.85 levered), carried over from the earlier model with no fresh regression; 0.2 either way on the levered beta is 13 to 16 cents on the base case (Stress Test row 12). As a cross-check, the directors use 9.2% for Auckland and Deloitte used 10.7% for Adelaide [3].

Mid-year discounting and the roll-forward. Both are right and they do not overlap. The roll-forward to the price date adds 4.1%.

Adding asset sales and online to the land-based value. The treatment is right: add the proceeds, take away the cash flow sold. What deserves a second look is the arithmetic. $295.5m for $10m of EBITDA is 30 times; the model values the cash flow given up at about 14 times. That gap is 14.5 cents of value, the largest evidence-light piece of the base case, and it rests on two phrases from the CFO. The Grand sale still needs Overseas Investment Office consent.

Counted twice or left out. Twice: the class action in the bear (fixed), and possibly growth, since the $70m target includes "new growth initiatives" [4] while the model also grows revenue; the base case's $50m covers that. Left out: the New Zealand tax losses (fixed, +2.0 cents) and the Grand management contract to June 2027 (a small plus) [8]. I have withdrawn an earlier flag about paying online licence fees again at renewal: see 3E.

Keeping the bids out of the headline. Right for the headline, wrong for the decision. Intrinsic value should not move with bid news. But a holder today owns the business and the option, so section 5 values both and combines them.

2.5 The open items, by what is at stake

Open item	Best evidence found	Does the figure move?
FY28 savings kept, $30m to $70m (19.5 cents per $20m on the base case)	About 250 roles at roughly $120,000 each is about $30m a year. The other $40m must come from supplier contracts, technology and revenue initiatives [4]. See 3B.	No. Base stays at $50m.
Land-based EBITDA (about 15 cents per $15m on the base case)	Outside data points to share loss, not the economy. See 3A.	No. The Q4 run-rate base is supported.
Discount rate (8 cents per half point)	10-year yield 4.70% [18].	Yes: +3.1 cents.
Class action (4.7 cents per $50m)	FY21 gross gaming revenue was 2.13 times net revenue [12]. Net revenue in the claim window was about $63m, so player losses were about $135m. SkyCity was not the principal; GiG's Silvereye was.	No. $125m is inside the range. At $135m: -0.14 cents.
Building depreciation, $20m	Buildings and fit-out depreciation was $38.0m in FY26 [3, note 19]. The FY24 law change cost $129.6m of deferred tax, implying $463m of building tax value [13]. NZICC and Horizon structures add more.	No. Evidence supports $15m to $22m. At $18m: +0.75 cents.
Tax on the Grand sale	None. The NZ tax losses could shelter it.	No.
Covenant levels	3.75 times net debt to EBITDA [42]. Reported liquidity of $185.9m fits a 3.5 times drawing limit (my inference).	Label only.
Lease split	$154.228m [3, note 22].	Confirmed.
Adelaide if kept	Carrying value A$145.8m (NZ$177m), the mid-point of Deloitte's A$119.0m to A$172.6m [3].	No. Already on the M&A tab.

Open item	Best evidence found	Does the figure move?
Online market size	The $1.36bn quoted in the annual report counts card deposits to offshore sites, not casino revenue [57]. Evergreen’s own model has licensed revenue at $716m in 2027 and $1,015m in 2030 [56].	Yes: -2.1 cents.
Online share, 5% to 8%	SkyCity Online is under 1% of the market today; its best year was about 6%. See 3E.	No, but it is the hopeful end. Half the share: -3.8 cents.
Takeover chance and price (was 45% and $0.865)	Iris paid 8.0 times for Christchurch, measured before lease accounting; like for like the reference is $0.855. The chance is judgement.	Yes: one table now. About 40% by August 2028, set by case (section 5).

2.6 Corrections table

ID	Tab and cell	Model has	Should be	Type	Old figure flattered or punished the value	Effect per share, in order	Source
V3-01	Assumptions C7	$0.68 (27 Oct)	$0.70 (NZX close 9 Nov 2026)	REFRESH	Neither: price only	0.0000	[17, 23]
V3-02	Assumptions C158	28 Oct 2026	10 Nov 2026	REFRESH	Punished	+0.0028	Price date
V3-03	Assumptions C209 (new); DCF Valuation C4 now links to it	5.00%	4.70%	REFRESH	Punished	+0.0311	[18, 30]
V3-04	Assumptions C210:C212 (new), C200, C201	"About $180m of tax losses", not valued	NZ losses $83.6m: tax value $23.404m, present value $21.4m, deducted from debt-like items in all cases	INCORRECT	Punished	+0.0201	[3] note 10
V3-05	Assumptions C213 (new switch), C201	Bear deducts the class action as lost in full ($78m)	Bear deducts the probability-weighted $21.75m, as base and bull do	METHOD	Punished	+0.0141	Model inputs C191:C195
V3-06	Assumptions C196, C197	$7.5m at 50%; "no leaseback disclosed"	$4.0m at 100%; short-term lease disclosed (amount still an estimate)	INCORRECT	Flattered	-0.0002	[2] p 30
V3-07	Assumptions C47, C48	Lease split "derived"	Confirmed at $154.228m	UNEVIDENCED, now closed	Neither	0.0000	[3] note 22
V3-08	Assumptions C190	$125m, unevidenced	Evidence supports $120m to $150m. Kept	JUDGEMENT, kept	Flattered a little: -0.0014 at $135m	0.0000	[12, 3]
V3-09	Assumptions G25:K25	$20m a year, unsourced	Evidence supports $15m to $22m. Kept	JUDGEMENT, kept	Punished a little: +0.0075 at $18m	0.0000	[3] note 19; [13]
V3-10	Review Summary C110	Covenants not disclosed	Covenant 3.75 times; liquidity fits a 3.5 times limit (inference)	UNEVIDENCED, now closed	Neither	0.0000	[42]; [2] p 15
V3-11	Assumptions C11, C214:C218; Valuation Summary C25, E25	Targets typed inside the formula; Jarden $0.80	Targets in cells; Jarden $1.15; Craigs $0.84; median $0.92	REFRESH	Neither: reference only	0.0000	[28]
V3-12	Comparables E5:E14, F5:F14; Assumptions C222:C231	Peer prices from 9 Sep to 23 Oct	All at the 6 Nov 2026 close	REFRESH	Neither: peer lens only	0.0000	[23]
V3-13	M&A Analysis C332; Assumptions C219	Allan Gray 12.55%	11.463%	REFRESH	Neither	0.0000	[10]
V3-14	FY26 Scenarios C15:E17	Discount rate and growth differ by case	One rate for all cases is cleaner. Kept	JUDGEMENT, kept	About neutral: -0.0013 if equalised	0.0000	Method
V3-15	Assumptions H76:K76	Online share 5% to 8%	Under 1% today, about 6% at best. Kept	JUDGEMENT, kept	Flattered if share halves: -0.048	0.0000	[12, 3]
V3-16	FY26 Scenarios D8:D9	Savings kept $30m and $50m	Supported for the base; the bull's $70m is not yet. Kept	JUDGEMENT, kept	Neither: 0.054 per $10m of FY28 savings	0.0000	[3, 4]
V3-17	M&A Analysis C182, C295	45% and $0.865	Price supported; chance is judgement. Superseded by V4-02 and V4-03	JUDGEMENT	Neither: event lens only	0.0000	[6, 5]
V4-01	Assumptions H75:K75; new C234:C236, G237:K238	$1,100m in FY28 rising 5% a year, from "DIA $1.36bn" times 80%	Evergreen's licensed revenue path: $760m, $854m, $959m, $1,040m (FY28 to FY31)	UNEVIDENCED	Flattered	-0.0206	[56, 57]

ID	Tab and cell	Model has	Should be	Type	Old figure flattered or punished the value	Effect per share, in order	Source
V4-02	New Outcomes tab; Assumptions rows 241 to 275	Two takeover treatments that disagreed: workbook 45% at $0.865 ($0.797 today); report 40% at $0.88 ($0.668 today)	One table: the three cases with a takeover, an Adelaide sale and a forced raise laid over them	METHOD	The report table punished (no room for the bull); the workbook lens flattered by under a cent	0.0000	[59]
V4-03	M&A Analysis C306, E316, C182	$0.865: a pre-lease multiple on post-lease EBITDA; typed 45%	$0.855 like for like (C297); chance linked to the Outcomes tab	INCORRECT	Flattered the event lens by 0.4 cent; headline untouched	0.0000	[59]
V4-04	Valuation Summary F22; report section 4	“$0.86 book value”	$0.86 is net tangible assets; book equity is about $1.40	INCORRECT	Neither: label	0.0000	[3]
V4-05	Review Summary C154, C159; Audit Log G117	Switch at 1 gives “about $0.754”; step labelled class action only	$0.755; the step is class action +0.0132 and lease +0.0009	INCORRECT	Neither: label	0.0000	[59]
V4-06	Sixteen text cells across five tabs (listed on Review Summary row 199)	Earlier-version labels on live numbers, such as “$0.768 now (v2)”	Records frozen at their own version’s figures; current lines made live	REFRESH	Neither: labels	0.0000	[59]
V4-07	M&A Analysis C348; report 3C	“Allan Gray and ACC can block a scheme”	Only if turnout is under about 92%; it was 69% by proxy in October	JUDGEMENT, qualified	Neither	0.0000	[59]
V4-08	Report 3E and 3G only	Flag: licence fees may be paid again every few years	Withdrawn: three years, one five-year renewal at a prescribed fee, re-auction after that	INCORRECT	Neither	0.0000	[58]
V4-09	FY26 Scenarios C19:E19	Weights 25/55/20	Defensible, kept. My own read is nearer 30/55/15	JUDGEMENT, kept	Flattered if you share the doubt: -0.053	0.0000	Section 5

The workbook carries the same tables on the Review Summary (v3 rows 161 to 181, v4 rows 192 to 204), the same IDs in the Audit Log (rows 112 to 144) and new sources and live checks on Sources & Audit (rows 100 to 152). Inputs changed only on the Assumptions tab; cells elsewhere that held an input I changed now link to it. No number is typed inside a formula. It recalculates to zero errors and the checks read ALL OK.

2.7 Bridge from $0.700 to the corrected headline

Step	Per share	Running
v2 headline, 28 October at a price of $0.68		$0.7003
V3-02 Valuation date to 10 November	+0.0028	$0.7032
V3-03 Risk-free rate 5.00% to 4.70% (discount rate 9.31% to 9.12%)	+0.0311	$0.7343
V3-04 New Zealand tax losses valued	+0.0201	$0.7544
V3-05 Bear carries the class action probability-weighted	+0.0141	$0.7685
V3-06 99 Albert lease disclosed	-0.0002	$0.7683
Headline in the first issue (v3)	+0.0679	$0.7683
V4-01 Online market: Evergreen’s estimate of licensed revenue	-0.0206	$0.7477
Corrected headline, 10 November at a price of $0.70	**+0.0474**	**$0.748**
Bear / base / bull (weights 25 / 55 / 20)		$0.237 / $0.778 / $1.302
If you reject the method change V3-05		$0.735
If the 10-year yield returns to 5.0%		$0.717
If the weights were 30 / 55 / 15		$0.694
If FY28 savings are $10m lower in every case		$0.652
If final-year capex is $10m higher in every case		$0.645

Evidence and judgement: V3-03, V3-04, V3-06 and V3-07 rest on documents. V3-05 is my reading of the model’s own probabilities; if you see the bear as "everything goes wrong" you can switch it back in cell C213. The red team is right that these are different kinds of change and should not all be called errors: 3.1 cents is an interest-rate move that can reverse, 2.0 cents is a real asset that had been left out, 1.4 cents is a change of method, and the online change is a weaker source replaced by your own estimate. The last three lines of the table are each larger than everything above them.

3. Job 2: beyond the model

A. Auckland's earning power

Auckland EBITDA fell $29.8m, from $209.6m to $179.8m. Gaming revenue fell $40.6m (machines $19.9m, tables $10.3m, premium tables $10.3m); other revenue rose $25.0m; costs rose $14.3m [2]. My split, with the company's own figures where they exist:

Cause	EBITDA effect	On the record or inference	How much is permanent
Carded play, with tighter host responsibility inside it	-$18m to -$22m	Company: $20m to $30m across NZ, in line with guidance [2]. Auckland share is my inference	About two-thirds
Premium tables: negative hold	-$7m to -$9m	Revenue swing of $10.3m is on the record; the EBITDA effect is my inference	Little: hold evens out, though premium play is shrinking
Fourth-quarter consumer and fuel shock	-$8m to -$12m	Company: about $20m across the group, Q4 against Q3 [1]. Auckland share is my inference	About half
NZICC, hotels, food and savings	+$8m to +$10m	Revenue and cost lines on the record; the net is my inference	Grows as NZICC fills
Total	about -$30m		$17m to $20m permanent; $10m to $13m recoverable

The outside evidence points more to lost share than to the economy, but it cannot show how much of the loss is permanent. Pub and club pokie profits nationally rose 1.58% in the year to June 2026 [19]. After inflation that is 0.58%, and the June quarter, a record in dollars at $271.5m, was the third-lowest June quarter in real terms in the series. So pub spending was flat, not strong. SkyCity's New Zealand gaming revenue fell 9.7% over the same year [2]. The gap of about 11 points is the same whether measured in real or nominal terms. The comparison is rough: national pubs against three casinos, and machines against machines plus tables, where the hold moves results. Auckland guest nights rose 5.9% in June 2026 and hotel nights 12.1% [45], which is one month, and hotel guests are not all casino customers. Across the Tasman, Star Sydney's daily revenue fell 10.7% in the first weeks of carded play and cash limits [43], and venues near Crown Melbourne gained pokie spend after Crown went carded [44]. SkyCity's own Adelaide valuation assumes carded play cuts uncarded revenue by 17.5% and takes five years to recover [3]. All of this fits carded casinos losing play to uncarded pubs. What it cannot show is whether the loss was a single step, already inside the fourth-quarter run-rate, or is still eroding. The model assumes a step with no further erosion and builds from the fourth-quarter run-rate; that choice is supported. The first issue called the loss structural and lasting, which went further than the data. The matched test is Auckland casino machine revenue against Auckland pubs by quarter, and I could not get the Auckland file (the data portal blocked the download). The bull's recovery is the $10m to $13m I call recoverable.

B. The cost programme

SkyCity had 4,689 staff at 30 June 2026, 97 more than a year earlier, and labour cost $373.7m, up $32.0m [3, 2]. The cuts cover "almost 250" roles, mostly corporate and back-of-house, most already made in New Zealand by 21 October [4]. At about $120,000 a role, loaded, that is $30m a year. So the role cuts alone roughly equal the FY27 target on a full-year basis, and deliver perhaps $20m to $23m inside FY27 given the timing. The CEO said about a quarter of the FY27 benefit had been achieved 3.7 months into the year [4], which is close to a straight line, not ahead of one.

The step from $30m to $70m is different in kind. The CEO listed four parts: the role cuts, supplier contracts, technology, and "new growth initiatives" with "more to follow in FY28" [4]. So part of the $70m is revenue, not cost. Non-labour costs are $267m, a large share of it duties, levies, rates and cost of goods that cannot be bargained down; $40m would be 15% of the lot. Procurement programmes usually yield a few per cent of the spend they can reach. A fair range for FY28 is $43m to $61m, and two years of wage growth at 3% takes back about $20m. The base case's $50m is supported. The bull's $70m is not yet. Union statements confirm the shape (corporate roles, some frontline) [46]. I found no Employment Relations Authority ruling on the 2026 restructure, and job advertisements in July and August were for casual hospitality, IT and regulatory counsel, consistent with the company's account. Neither test is strong.

C. The sale process

On the record. Two proposals arrived in May 2026: $0.70 cash from an Oaktree special situations fund and an implied $0.75 from a second party, each needing at least eight weeks of due diligence and debt finance [24]. The shares were about $0.64 at the time [27, 23]. The board rejected both. Neither improved. On 30 September the board appointed UBS and Chapman Tripp, and on 21 October it opened a structured process with due diligence access, saying it "will take some time" [6, 5]. The press, not SkyCity, names the second party as Sam Arnaout's Iris Capital [25]. One or both bidders asked for exclusivity, for SkyCity to keep its debt facilities, and for limits on asset sales [26].

Iris Capital. Owns Casino Canberra, Lasseters in Alice Springs, the Reef casino in Cairns (A$192.7m, control in August 2026 after about a year of Queensland probity) [35, 36] and, since 8 October, Christchurch Casino ($102m) with a third of Dunedin [34]. The Overseas Investment Office cleared it on 6 May 2026 [33]. Three things follow, all my inference. First, Iris has already passed New Zealand probity once this year. Second, it would own four of the country's five casinos and a third of the fifth, so it needs Commerce Commission clearance; SkyCity itself bought 40.5% of Christchurch in 2004 in a deal that was conditional on Commerce Commission approval [53]. Third, Christchurch Online NZ Limited won one online right [37]; with SkyCity's two that makes three, the legal maximum for one applicant [2], with nothing to spare. The harder question is money: SkyCity's equity at $0.87 is about $960m, three times Iris's two 2026 casino purchases combined. It needs a partner. Oaktree, a credit and special situations investor that has circled Crown and Star, is the obvious one. That pairing is my inference and is not on the record.

What a bidder can pay now. With the asset sales done, the two May bids equal 6.4 and 6.7 times FY27 EBITDA on what is left. The independent expert in the Reef takeover documents put Iris's Christchurch price at 8.0 times (as recorded on your M&A tab; I did not re-open that report). Moving the 75 cent bid to 8.0 times gave $0.865 on the model's first reading. That multiple is measured before lease accounting, so the like-for-like figure is $0.855, which v4 uses. The two businesses still differ in property ownership, growth and capex, so this is a reference point, not a clearing price. A bidder paying 7 times FY28 earnings of $217m gets to about $1.03. The two May approaches show interest; they were conditional and non-binding and are not a floor. The asset sales since then added value, but they also took property out of the package the bidders first looked at, so the May prices cannot simply be re-applied. Any deal needs 75% of the votes cast and more than half of all votes. Allan Gray (11.5%) and ACC (11.6%) hold 23.05% between them, which blocks a scheme whenever turnout is under about 92%. Proxy turnout at the October meeting was 69%, so in practice they can. My reference prices are $0.855 if trading is on the base path and about $0.60 if a bidder has seen bear-case trading.

Timetable. First proposals after the half-year result in February 2027; a binding agreement by mid-2027 at the earliest; then the Gambling Commission, the Overseas Investment Office, the South Australian regulator and possibly the Commerce Commission: ten to twelve months on Iris's Christchurch and Reef precedents. That puts completion around the middle of 2028, close to your second date. The Hamilton licence expires on 18 September 2027 with no hearing date set [21].

Register and incentives. Allan Gray has sold a net 12.0 million shares since September 2025 [10]. Spheria sold below 5% on 16 October at $0.68 [11]. The CEO's 5.6 million commencement rights carry a $1.37 exercise price, and each director owns between 73,000 and 149,000 shares [3]. No payment on a change of control is disclosed, and adviser fees are not disclosed. On those disclosed holdings, management and directors gain little from a sale at 85 to 95 cents. That is not the whole of their incentives: employment terms, retention payments and directors' duties also count, and they are not disclosed. Pressure is most likely to come from the large holders, and the largest is selling.

D. Adelaide

FY26 EBITDA was A$19.5m (NZ$22.8m), down 31.5%, on revenue of A$212m; after depreciation it lost money [2]. The carrying value is A$145.8m (NZ$177m) after a A$42.9m write-down [3]. The settlement is a A$21m fine in three instalments over two years, an independent board and a more standalone operating model by January 2028; the binding deed was "well advanced" on 30 September [2, 6]. Still to come: the B3 programme (final elements by June 2027, approval early FY28), carded play from April 2027, and more capex on the railway

building [3, 4]. The licence runs to 2085 and is exclusive to 30 June 2035 [2]. A$165.7m of Australian tax losses may not survive a change of owner [3]. Buyers: SkyCity says only "credible interested parties" [6]; Forsyth Barr points to Iris and puts the price at NZ$180m to NZ$200m [49]. Eight times A$19.5m is about NZ$192m. A sale near book adds about 4 cents against the model's hold value of NZ$130m and removes the remaining regulatory spend. I put the chance that Adelaide has changed hands by August 2028 at about 60%: about 40% inside a takeover of the whole company and about 20% on its own (section 5).

E. Online

Fifteen rights went to eleven entities at $15m each: Betway's owner three, Entain two plus TAB New Zealand's one, Rock Swift Group two, SkyCity two, and one each to Christchurch Online, One Casino, Rush Entertainment, Skill On Net and Stake [37, 38]. Licences last three years with one five-year renewal; unlicensed operators leave on 1 December 2026; everyone must be live by 1 June 2027; sponsorships and affiliates are banned [2]. SkyCity puts the market above $1bn [5], and its annual report quotes a figure of $1.36bn [3].

Market size. The red team is right that the $1.36bn is not casino revenue. The study behind it counts card payments to offshore gambling sites of all kinds, before winnings are paid back [57]. I could not open that file to check the wording myself. At your direction, v4 uses Evergreen's own estimate of the licensed market instead: $716m in 2027 rising to $1,015m in 2030 [56]. In June years that is $760m, $854m, $959m and $1,040m, against the $1,100m to $1,273m the model had. It is your figure, not a public one, and the workbook labels it that way. The headline falls 2.1 cents.

SkyCity is not the incumbent online. Its own site earned $13.1m net on $27.9m of player losses in FY21 [12], about 6% of a market then put at $400m to $500m [54], and $2.8m net in FY26 [2], under 1% of today's market. The press names JackpotCity, a Betway sister brand, as market leader and the TAB as second [52]. Where a state monopoly opened its market, the incumbent kept a quarter or less: Ontario's OLG about 16% [47], Denmark's Danske Spil from about 60% to 25% [48]. Those operators started with every legal customer. SkyCity starts with almost none, though it now holds a carded database of every casino customer. The base case of 5% to 8% asks it to win back its best-ever share against better-funded specialists. On the smaller market, online is worth minus 0.7 of a cent in the base case: at 5% to 8% of the market it does not earn back the $30m of licence fees and its fixed costs. At half the share it costs another 3.8 cents. It is a small risk, not a reason to own the stock. I did not verify Sweden or the US states.

F. Debt

Net debt was $590.7m at 30 June, 3.1 times covenant EBITDA [2]. The $175m bond matures on 21 May 2027; the bank lines of $277.5m (ANZ and Westpac, to September 2028 and 2029) are undrawn; US private placement notes of $375.9m fall due in 2030 and 2031 [3]. The bond's own covenants are loose (net debt no more than 75% of debt plus capital) [15]. The bank and note covenant is 3.75 times [42]. S&P rates SkyCity BBB- on negative outlook and will review that when the Grand settles [2]. On the model's base case, net debt is about $325m at June 2027, or 1.9 times. If the Grand sale failed it would be about $540m, near 3.0 times, still inside the covenant, and the bank lines cover the bond either way. A forced equity raise needs the Grand to fail and earnings to fall below about $145m. I put it at 3% to 4%.

G. What the market may be missing

Question	On the record	My inference
1. Is the gaming fall the economy, or share lost to uncarded pubs?	Pub and club pokie profits +1.58%; record June quarter [19]. SkyCity NZ gaming -9.7% [2]. Auckland hotel nights +12.1% in June [45].	More lost share than economy. The data cannot show whether it was a single step or is still eroding.
2. How tight was the balance sheet at 30 June?	Liquidity reported as $185.9m, yet cash was $114.4m and undrawn lines $275m [2].	$185.9m is cash plus $71.5m, within $0.3m of what a 3.5 times limit allows on $189.1m of covenant EBITDA. Real headroom was about 11% of EBITDA. That explains selling property at 30 times and refusing to pause the sales for bidders. It disappears when the Grand settles.

Question	On the record	My inference
3. Can Iris actually complete?	OIO consent and settlement for Christchurch in 2026 [33, 34]. Bid needed debt finance [24].	Probity is half done. The Commerce Commission and funding are the real hurdles. It needs a partner.
4. What does an online licence cost over its life?	Three years, one renewal; $15m each [2, 7].	The first issue flagged paying $30m again at renewal. That was overstated. The Act gives a three-year term and one five-year renewal at a prescribed fee, with re-auction only after that [58]. The model's single payment is the right reading for eight years.
5. Is the class action SkyCity's bill?	GiG's Silvereye was principal; SkyCity booked revenue net of GiG's costs [12]. The contingencies note gives no amount [3]. Parallel claims against bet365 and Betway's owner [40].	SkyCity received about $63m, half of what players lost. Exposure beyond that turns on indemnities to GiG, which are not disclosed.
6. Who is paid to get a deal done?	CEO rights at $1.37; directors hold about $50,000 to $105,000 of shares each [3].	On disclosed holdings, no one inside gains much; other terms are not disclosed. A deal needs a bidder at about $0.86 and holders willing to take it.

I did not get to company and land registers, council consents, trademark and domain filings or archived web pages. They are in the could-not-verify list.

H. Anything else

- **Better than the model:** the tax losses; lower rates; the directors' own Auckland valuation of $1.6bn to $1.86bn; NZICC bookings of 350 events for FY27 [4].
- **Worse than the model:** the CEO told the annual meeting that Auckland EBITDA was $188.5m; the results say $179.8m ($188.0m is the land-based total) [4, 2]. It is a small slip, but in a company asking to be believed on $70m. Costs rose 8.4% and headcount rose in a year the first savings target was "exceeded". The private placement notes have a fair value of $428.5m against $392.1m in the books [3]. That gap is not a repayment charge: whether a takeover triggers a make-whole payment depends on the note terms and hedges, which I have not seen.

4. The strongest case each way

Argument	Does the other side answer it?
For holding or adding. 1. The price equals the lowest rejected bid and is about 7% below corrected value.	Partly. The value needs the savings to land.
2. The balance sheet is nearly fixed: 1.9 times after the Grand; covenant 3.75 times.	Only by pointing to the OIO consent. Otherwise no.
3. A live process with a bidder that has cleared NZ regulators this year and pays 8 times.	Partly. No improved bid in six months; funding and competition questions; holders may block below $0.85.
4. The directors value Auckland at $1.6bn or more; net tangible assets are $0.86 a share (book equity $1.40); Jarden says $1.15.	Largely. These rest on forecasts that have missed two years running.
For selling. 1. Earnings are still slipping: Q1 matched a weak Q4 even with a quarter of the savings in.	No. The holder's side has no answer until February.
2. The gaming fall looks like share lost to uncarded pubs, not just a weak economy.	Partly. The data fits lost share but cannot show it is permanent, and the carded database may help.
3. The second $40m of savings is unproven and partly revenue.	Partly. The first $30m is on track.
4. Online starts from under 1% against Betway and Entain.	Yes, mostly. On the smaller market it is about minus 1 cent of value and 4 cents of risk.
5. The largest holder is selling at this price and insiders own little.	Partly. Allan Gray still holds 11.5%.
6. The margin over the price is smaller than one $10m miss on savings.	No. That is why the answer is hold, not add.

The thin points: the sell case has little to say about the balance sheet, and the hold case has little to say about trading. The half-year result settles more of this than any other single event.

5. Outcomes at your two dates

This section is rebuilt. The first issue held two takeover treatments that disagreed: the workbook's (45% at $0.865, worth $0.797 today) and my table (40% at $0.88, worth $0.668 today at the required return). They are now one table, on the Outcomes tab. It starts from the model's three cases at the model's weights, rolls each forward at the 11.7% cost of equity, and lays a takeover, an Adelaide sale and a forced raise over each. Figures are wealth per share at the date: share price plus any dividends or takeover cash already received. The chances are my judgement. Each price has a stated basis.

5.1 The three cases at each date

Per share	Bear	Base	Bull
Model weight	25%	55%	20%
Model value today	$0.237	$0.778	$1.302
At 30 June 2027			
Standalone value	$0.360	$0.835	$1.397
Chance a takeover has been agreed	20%	28%	20%
Takeover value (agreed, not yet paid)	$0.571	$0.814	$1.105
Value if there is no takeover	$0.360	$0.850	$1.412
Expected wealth in the case	$0.403	$0.840	$1.351
At 31 August 2028			
Standalone value	$0.377	$0.951	$1.591
Chance a takeover has completed	35%	45%	30%
Takeover value (cash, held at the risk-free rate)	$0.621	$0.885	$1.238
Value if there is no takeover	$0.366	$0.964	$1.604
Expected wealth in the case	$0.455	$0.929	$1.494

- **Standalone value.** Base and bull are the model values rolled forward. The bear is half its model value rolled forward ($0.25 and $0.29) and half the June 2026 low of $0.465. The red team asked what supports pricing the bear above its model value. The answer is that the bear model value puts the whole business at about 4.7 times FY26 EBITDA, counting net debt of $590.7m, while on the same count the market paid 6.1 times at the June low with no bid in view and the May approaches were at about 7 times. One price episode is still thin, so I give it half weight and show both ends in 5.3.
- **Takeover price.** $0.855 in the base case (the 75 cent approach at 8.0 times, like for like). About $0.60 in the bear case: the undisturbed price, and close to what Oaktree's multiple gives on bear-case earnings. In the bull case, the base price plus half of the extra value, because a bid in 2027 arrives before the bull case is proven.
- **No takeover.** An Adelaide sale at NZ$180m adds 3.8 cents, with a 40% chance by the first date and 35% by the second. In the bear case there is also a 15% then 25% chance of a forced raise, priced 22.8% below the bear value, the discount in the August 2025 raise [16].

5.2 The five outcomes

Outcome	What has to happen	Chance by 30 Jun 2027	Wealth	Chance by 31 Aug 2028	Wealth
Takeover of the whole company	First date: a binding deal after the half-year result, not yet paid. Second date: scheme approved, four regulators clear the buyer, cash received	24.4%	$0.81	39.5%	$0.88
Break-up	Adelaide sold at about book; no takeover of the rest	29.0%	$0.89	19.8%	$1.02
No deal, plan working	Base or bull case: half-year EBITDA of $85m or more, savings on track, Grand settled	33.4%	$1.00	28.8%	$1.15
No deal, plan failing	Bear case: half-year EBITDA under $78m; savings absorbed by decline	10.2%	$0.36	7.9%	$0.38
Forced equity raise	Bear case, and the Grand sale fails or earnings fall again	3.0%	$0.28	4.1%	$0.29
Standalone only (the three no-deal rows)		46.6%	**$0.81**	40.7%	**$0.92**
Takeover and break-up only		53.4%	**$0.85**	59.3%	**$0.93**
Combined expected wealth		100%	**$0.833**	100%	**$0.923**
Value today, discounted at 11.7%			**$0.776**		**$0.756**

Working, June 2027: 0.244 x 0.812 + 0.290 x 0.886 + 0.334 x 0.997 + 0.102 x 0.360 + 0.030 x 0.278 = $0.833; divided by 1.0729 (11.7% for 0.636 years) = $0.776 today. August 2028: 0.395 x 0.880 + 0.198 x 1.024 + 0.288 x 1.153 + 0.079 x 0.377 + 0.041 x 0.291 = $0.923; divided by 1.2215 = $0.756 today.

How to read the dates. The wealth figures assume the share price has reached value in each case by the date. If it has, the return from $0.70 is 16.5% a year to August 2028 against the 11.7% required. The June 2027 figure is under eight months away, so the same gap shows as a much larger yearly rate and should not be leaned on. If none of the gap has closed by either date, a holder earns the required return and no more. The value today does not depend on that timing, which is why the price levels in section 6 use it. The first issue's 8.9% a year is withdrawn.

Dividends. They are inside the wealth figures. SkyCity expects to resume dividends in FY28 and has given no amount [4]. A dividend lowers the share price by the amount paid and leaves wealth unchanged, so the table needs no separate figure.

5.3 What the answer depends on

View (one judgement changed at a time)	Value today	Against $0.70
Central view	**$0.756**	+8%
Bear case priced at its model value (the red team's test)	$0.745	+6%
Bear case priced at the June 2026 low	$0.767	+10%
Less weight on the bull case: 30/55/15	$0.713	+2%
Market keeps paying 10% under model value in the base and bull cases	$0.710	+1%
Takeover chances halved	$0.764	+9%
A bull-case bid pays only the base-case price	$0.739	+6%
A bull-case bid pays full bull value	$0.773	+10%
All the cautious views together	**$0.644**	-8%
Outside the table: FY28 savings $10m lower in every case	$0.702	+0%
Outside the table: the class action lost in full (its 25% chance is already weighted in)	$0.703	+0%

- **A takeover is close to neutral on these numbers.** Halving the chances moves the value by under a cent. A bid rescues the bear case and caps the bull case, and at $0.855 it pays about what the base case is worth at the time. So the sale process is not an extra reason to hold, and its failure is not by itself a reason to sell.
- **The red team's test on the bear price costs about 1 cent today.** Their point stands as a matter of evidence, but it does not change the reading.
- **What matters is the weight on the bull case and whether the savings land.** The first issue's table gave $0.82 at August 2028 because its best outcome was priced at about the base case, with nothing for the bull. On the model's weights that outcome is worth more. If you share my doubt about the bull, the value is about $0.71; if savings also fall $10m short, it is below the price.

Each value in this table is the lower of the two dates. The workbook holds the same rows live (Outcomes tab, section E).

6. Prices, dates and signals

These levels are read from the Outcomes tab. They replace the $0.60, $0.85 and $0.88 of the first issue, which were not derived from the table. They are analysis levels, not instructions.

- **Add** below about $0.64. That is the value today with every cautious view applied, so below it the shares earn the required return even if each of those judgements goes against you. Only if fewer than two of the model's high or critical signals have fired.
- **Trim** above about $0.76 without a firm bid. That is the value today on the central view; above it the shares no longer earn the required return even on the model's weights.
- **Accept** a cash bid of about $0.86 or more if trading is on the base path. That is what the shares are worth to hold if no takeover comes, rolled to the date a bid would pay. The $0.855 that the evidence points to is right on that line, so a bid there is a fair exit, not a windfall. If the half-year result has missed, the same sum on the bear path is about $0.37, and a bid from about $0.60 is well worth taking. If the plan is plainly working, a bid would have to be well over a dollar.

Dated events that would change my mind: 27 November, official election result. 1 December, unlicensed online operators leave. 9 December, Reserve Bank. Mid-December, Grand settlement and OIO consent. Early 2027, online licences. February 2027, the half-year result: $85m or more of underlying EBITDA supports the base, under $78m is the model's critical trigger. February to June 2027, proposals. 21 May 2027, the bond. 1 June 2027, online live. August 2027, the full-year result. 18 September 2027, Hamilton licence expiry. 1 January 2028, Adelaide's independent board.

Pre-Mortem signals already fired: none of the critical or high ones. The two soft ambers stand: first-quarter trading matched a weak fourth quarter, and there has been no new proposal since May. The 10-year yield signal (above 5.5%) is further from firing than it was. The "November 2026" Reserve Bank row was in fact the 28 October decision.

Signals I would add: pub and club pokie profits rising while SkyCity's machine revenue falls for a second year (high); Allan Gray below 10% or ACC selling (high); the Grand consent slipping past 31 December (high); a government that depends on Labour or the Greens moving on online advertising (medium); a Hamilton hearing set for after September 2027 or contested (medium); Iris or Oaktree signing for Adelaide alone, which would suggest no whole-company bid (medium); S&P leaving the outlook negative after the Grand settles (medium).

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Could not verify

- The DIA and Dot Loves Data market report itself: the DIA site refused automated access, so what the $1.36bn measures is taken from the red-team review [57, 59].

- Evergreen’s market model: your own figures, taken from our earlier work. Not public and not checked against outside data here. If its first year is lined up with FY28 instead of calendar 2027, the headline is 0.3 of a cent lower.
- The renewal sections of the Online Casino Gambling Act and the turnout arithmetic source (Takeovers Panel guide): taken from the red-team review.
- The terms of the US private placement notes on a change of control, and any hedges.
- The CFO’s remarks on the EBITDA of the Grand and 99 Albert, and Macquarie’s forecasts (transcript and note not open to me).
- The count of share rights (6.80m) and the current holdings of ACC and AustralianSuper: the NZX notice list would not load. ACC’s 123.1 million shares at its August 2025 notice are 11.2% of today’s count if unchanged.
- Online duty and levy rates against the Act and regulations themselves.
- Auckland-only pub and club pokie figures by quarter: the data.govt.nz file was blocked to automated access. National figures used.
- The Overseas Investment Office file for the Grand Hotel, and the buyers behind Eden Global Capital.
- Who owns Rock Swift Group, Rush Entertainment and One Casino.
- S&P’s 2026 rating reports: I have only SkyCity’s statement of BBB- on negative outlook.
- The 6 June 2024 trading update itself (the file is an image); the 3.75 times covenant is taken from interest.co.nz and a Forsyth Barr summary, and may have been amended since.
- Names of bidders for Adelaide; any fee terms for UBS or Chapman Tripp; any change-of-control terms for executives.
- Sweden and the US states on incumbents’ online share. Employment Relations Authority: no ruling found. Job advertisements: snapshots only, no series.
- Company and land registers, council consents, trademark and domain filings, select committee submissions and archived web pages: not searched.
- Jarden’s, Craigs’ and Forsyth Barr’s notes: targets taken from press summaries.